Fall Confidential Number _____

FALL FINAL EXAM NUMBER: LW1010.04 SECTION D

OSGOODE HALL LAW SCHOOL

YORK UNIVERSITY

FINAL EXAMINATION – FALL 2025

Monday, December 8, 2025

Contracts - LW1010.04

Examiner: Richard Frimpong Oppong

Time: 3 Hours

This is an Open Book Exam. You are, however, **not** allowed to use materials from the Internet or use the Internet during the exam, except to submit your answer at the end of the exam.

There are **three (3) questions** on this exam. Candidates must answer ALL questions for a total of 100 marks. Questions 1 and 2 are each worth 40 marks. Question 3 is worth 20 Marks.

There is a word limit for this exam. Answer all three questions in no more than 4000 total words. Words in excess of the stated word limit will not materially count in assessing your response.

Please read the questions carefully. State and discuss the relevant rules that govern the issues, apply the rules to the appropriate facts, and set forth a conclusion that resolves the issues. Where appropriate, use the cases discussed in class to support your discussion of the relevant rules and bolster your analysis.

This exam is designed to assess your knowledge. Accordingly, students may not collaborate or communicate in any form with anyone in responding to the question. The rules and policies on academic integrity apply to this exam.

The examination is six (6) pages in length.

This is page 1 of 6 pages.

Question 1

Mrs. Patricia Colson, age 73, is the widow of a well-known real estate developer in Ontario. In the months preceding her husband's death, she permitted two mortgages to be registered against the family home as security for financing one of his business ventures. She now seeks to have those mortgages discharged, asserting that she signed whatever documents her husband placed before her, without meaningful understanding or independent legal advice. She describes the signing process as something she "felt she had no real influence on."

Mr. Albert Colson, who died in July 2020, operated a development company with two of their five sons, James and Quentin Colson. One of their ventures was a condominium project known as the Schprintze Meadows, which was financed by Terrapin Investment Bank ("Terrapin").

The two mortgages now at issue were executed on the same day in February 2020. The first, for $2.5 million, secured a promissory note that Patricia signed as co-borrower along with her husband and two sons. The second, for $5 million, secured a loan agreement that Patricia signed solely as guarantor. Both mortgages encumber not only the family home in Aurora but also several rental properties in Toronto that Patricia owned alone, having inherited or purchased them with her personal funds.

Patricia has not worked outside the home since 2005. For three decades, she worked in a bank as a low-level staff member, given that she had only a high school education, plus a year of secretarial training. She once aspired to attend law school but never pursued that dream. She admits to having a longstanding mistrust of lawyers and says her financial affairs were managed entirely by Albert. She played no role in the real estate development business beyond occasional site visits arranged by Albert.

The family home was purchased in 1995 using proceeds from the sale of a property she inherited from her aunt. Patricia states that she did not want the home used as security, but Albert told her it was "just for a few months," insisting that Terrapin "needed comfort" before releasing funding to the business. She recounts that refusing to sign, according to Albert, would be "the end of family harmony" and would "sabotage the boys' livelihood." She explains that Albert often framed decisions as tests of loyalty, in this instance saying, "If you cared about this family, you wouldn't blink to do this."

Patricia says: "I did not want to sign the papers, but I knew my life would be hell if I didn't do what Albert asked." She describes Albert as having a volatile temper and says that the entire household—including their adult sons—lived "on edge" around him. Albert was known in the community for his explosive behaviour. He had once been convicted for assaulting a grocery store cashier who placed his purchase of fresh fish and fruits in the same bag.

The mortgages were signed in the office of Mr. Langford, a lawyer who had acted for Albert's businesses for over 10 years. Patricia says she believed Langford was "Albert's lawyer," not

hers, and she does not recall anyone telling her that she was entitled to independent counsel.

Patricia attended the signing with Albert and two of their sons. She recalls Mr. Langford explaining the documents "to the group," using technical terms she did not understand. She says she felt unable to ask questions because doing so would "hold things up" and might provoke Albert's anger. She says she signed quickly because "the men were watching" and she "didn't want to look obstructive."

She also states she was emotionally dependent on Albert and accustomed to following his financial directives without discussion. She says no one—neither Albert nor Langford—ever suggested she leave the room for private legal advice, and she never had a retainer relationship with Langford.

Terrapin and Albert's sons dispute Patricia's account. They say Mr. Langford did advise Patricia that she could obtain her own lawyer. According to them, Langford paused before the signing and asked whether she wished "to speak privately or get separate advice." They say Patricia declined because she "trusted Albert" and was familiar with signing similar documents over the prior decade.

Terrapin points out that Patricia had signed multiple guarantees for Albert's projects and had visited Langford's office on several prior occasions alone, suggesting she was not unfamiliar with the legal environment. They also highlight that Patricia formerly worked at a bank.

According to Langford's assistant—who says she was present—Langford met with Patricia separately for "a few minutes" before the family entered the boardroom. There is no note of this meeting, but the assistant recalls hearing Langford say something like, "You can always get your own lawyer." If this occurred, Terrapin argues that it shows she was at least given the opportunity for independent legal advice.

Patricia, however, does not recall this private interaction and insists no such meeting occurred. She says that if she were briefly alone with Langford, it was only while waiting for Albert and the sons to finish a phone call, and that no legal advice or options were discussed.

Patricia has come to your firm for advice. She wants to know whether she can set aside the two mortgages and, if so, on what legal basis. Your supervising partner has asked you to write a paper assessing the extent to which undue influence is a viable means to enable her to set aside the mortgages, given the facts above. With the aid of decided cases and careful analysis, write that paper. (40 Marks, *recommended: about 1600 words*)

Question 2

In February 2025, at the beginning of Donald Trump's second presidential term, MapleTech Inc. ("MapleTech")—a mid-sized Ontario company specializing in precision-machined aluminum components—executed a long-term supply contract with Detroit GearWorks LLC ("GearWorks"), a Michigan automotive manufacturer. The two companies had collaborated intermittently for nearly a decade, but with rising demand in the North American electric-vehicle sector, they sought a more stable, predictable supply relationship. Their new contract obligated MapleTech to supply GearWorks with five thousand components per month for two years at a fixed price of eight hundred (800) US dollars per unit. The agreement contained no tariff-adjustment provisions, no force majeure clause relating to government trade actions, and no mechanism for renegotiating the contract in response to political or regulatory changes. They chose Ontario law to govern the contract.

The contract was negotiated at a time when discussions of new U.S. tariffs were increasingly present in public and political discourse but had not yet materialized in concrete policy. Throughout late 2024 and early 2025, the incoming administration had repeatedly suggested that a broad "America First" realignment of trade policy was imminent. Public statements referenced the possibility of higher tariffs on a range of imports, including aluminum and steel, as part of a strategy to bolster domestic manufacturing. Media outlets speculated on the likelihood of trade measures against various countries, including Canada, though the specifics remained unclear. Industry analysts were deeply divided: some warned that Canadian manufacturers should brace for significant trade barriers. In contrast, others argued that the economic integration of the North American automotive supply chain made sweeping tariffs unlikely. Despite the uncertain atmosphere, neither party raised the issue of potential tariffs during contract negotiations, and both elected to proceed with a fixed pricing structure.

Two months after the contract was executed, the policy environment changed rapidly. In April 2025, the U.S. administration announced a new set of tariffs on certain industrial metals, including a fifty-percent tariff on aluminum imports from Canada. The measure was justified domestically as necessary to protect national manufacturing capacity and reduce supply-chain exposure. For MapleTech, the tariff had an immediate and substantial financial impact. Although the company sourced its raw aluminum from within Canada, the new tariff applied when its finished components crossed the U.S. border. The additional import cost eroded the profit margin that MapleTech had built into its fixed-price contract with GearWorks. Administrative compliance obligations associated with the tariff regime—such as expanded documentation requirements, shipment pre-clearance, and increased inspection delays—added further operational expense and uncertainty.

MapleTech's financial models indicated that continuing to supply the components at $800 per unit by "eating the US tariff" would yield losses that could threaten its broader business operations, reducing profits by as much as 65%.

Hoping to preserve the commercial relationship and avoid layoffs, MapleTech approached GearWorks to request a price adjustment. It explained that the structure of the contract had not contemplated the sudden imposition of tariffs of this type and magnitude, and that performance under the existing terms had become economically untenable. MapleTech proposed a temporary twenty-percent price adjustment until the trade climate stabilized, or that both parties "eat the tariff" evenly.

GearWorks rejected the request. It noted that its primary customers—major U.S. automakers—had locked in fixed-price supply contracts running through 2026. Accepting MapleTech's proposed adjustment, even temporarily, would jeopardize GearWorks' own contractual commitments. GearWorks maintained that MapleTech had agreed to a fixed price and that the contract did not provide for revisions based on changes in trade policy. GearWorks also suggested that the possibility of tariffs had been widely discussed before the contract was signed and that both parties, as seasoned cross-border traders, were aware of the commercial risks inherent in international supply chains.

The parties' relationship deteriorated rapidly. MapleTech warned that it could not sustain the losses from the tariffs and indicated that it may no longer be able to continue under the existing terms. GearWorks demanded strict compliance with the contract and signalled that it would hold MapleTech accountable for any failure to deliver. Their communications soon became dominated by disagreements over whether the imposition of the tariff had fundamentally altered the foundation of their bargain or merely made the arrangement more burdensome for one side. Internal documents from both companies reflect growing concern about supply shortages, reputational harm, and financial instability should the dispute escalate.

In October 2025, MapleTech informed GearWorks that it would no longer supply the components and that GearWorks should make alternative arrangements to secure them. In response, GearWorks has instituted an action in Ontario against MapleTech for breach of contract.

MapleTech has come to your firm for advice. Your supervising partner has asked you to write a paper assessing the extent to which the common law doctrine of frustration of contract can be a viable defence to GearWorks' claim, given the facts above. With the aid of decided cases and careful analysis, write that paper. (40 Marks*, recommended: about 1600 words*)

Question 3

In early 2025, Daniel McLaren, a Toronto-based software engineer, began searching for a property as a retirement home. He became interested in a detached home located in Burlington, Ontario, approximately 24 kilometres from the John C. Munro Hamilton

International Airport. Having lived in a noisy downtown Toronto condo for years, Daniel was determined that his next home would offer genuine peace and quiet.

Because he was aware of the regional air traffic associated with southern Ontario airports, Daniel retained Greywood Surveying Ltd., a licensed home inspection and surveying firm, to conduct a pre-purchase survey. In his initial consultation with the firm's manager, Robert Grey, Daniel made an explicit request: "in addition to the usual structural and environmental assessments, I want Greywood to investigate whether the property is on or near an active flight path." He explained further, "I do not fancy noise. I will be reluctant to purchase a home affected by aircraft activity." Greywood agreed to include this inquiry as part of its contractual obligations.

Two weeks later, Greywood delivered a written report. Under a section titled Environmental and External Considerations, the report stated: "Based on available data and site observation, it is unlikely that the property will be significantly affected by aircraft noise from Hamilton International Airport." Daniel was satisfied with the report and completed the purchase.

Before moving in, he invested over $100,000 in modernization and renovations to make the house his "sanctuary and dream home." When he finally moved in during the summer of 2025, he was startled to discover that the property was regularly and substantially affected by aircraft noise, including early-morning cargo flights. Noise levels were intrusive enough that he experienced sleep disruption, stress, and anxiety. Daniel feels frustrated and angry at the situation. However, all aircraft operators to and from the John C. Munro Hamilton International Airport comply with the noise operating restrictions and noise abatement procedures published by NAV CANADA in the Canada Air Pilot and the Canada Flight Supplement.

Further inquiries revealed that the property was indeed directly under a commonly used approach path, something that Greywood or Daniel could have determined from publicly available aeronautical charts and airport planning documents, including through a Google check.

Daniel considered selling the house. However, he ultimately chose not to, fearing a loss on resale and feeling emotionally attached after his extensive renovations. Instead, he sued Greywood Surveying Ltd. for breach of contract.

Assume a breach of contract has been established. With the aid of decided cases and careful analysis, assess whether a claim for damages for emotional distress by Daniel is legally viable. (20 Marks*, recommended: about 800 words*)